

## Contents

|                                                                |          |
|----------------------------------------------------------------|----------|
| <b>Paid Time Off and Vacation Policy</b>                       | <b>1</b> |
| PTO-1. Purpose . . . . .                                       | 1        |
| PTO-2. Scope and policy precedence . . . . .                   | 1        |
| PTO-3. Definitions . . . . .                                   | 2        |
| PTO-4. Eligibility and accrual . . . . .                       | 2        |
| PTO-5. Rules for using PTO . . . . .                           | 2        |
| PTO-6. Notice and request process . . . . .                    | 2        |
| PTO-7. Approval criteria and scheduling conflicts . . . . .    | 3        |
| PTO-8. Changes, cancellation, and illness during PTO . . . . . | 3        |
| PTO-9. Carryover and year-end treatment . . . . .              | 3        |
| PTO-10. Separation and status changes . . . . .                | 3        |
| PTO-11. Roles and responsibilities . . . . .                   | 3        |
| PTO-12. Exceptions, questions, and records . . . . .           | 4        |
| PTO-13. Examples . . . . .                                     | 4        |
| Related policies and records . . . . .                         | 4        |

## Paid Time Off and Vacation Policy

**Educational and synthetic policy corpus.** Northstar Technologies Inc. is a fictional company created for an AI engineering project. All people, records, email addresses, examples, and operational data are synthetic. These documents are not legal advice and do not replace applicable law, benefit plan documents, signed employment agreements, or case-specific guidance from People Operations.

| Metadata       | Value                                                                                                             |
|----------------|-------------------------------------------------------------------------------------------------------------------|
| Policy ID      | <b>POL-PTO-001</b>                                                                                                |
| Version        | 1.0                                                                                                               |
| Status         | Active                                                                                                            |
| Effective date | 2026-09-01                                                                                                        |
| Review date    | 2027-09-01                                                                                                        |
| Policy owner   | People Operations                                                                                                 |
| Approver       | Chief People Officer                                                                                              |
| Applies to     | Regular full-time and regular part-time employees unless a written agreement or applicable law provides otherwise |
| Classification | Internal                                                                                                          |

### PTO-1. Purpose

This policy establishes a consistent method for earning, requesting, approving, using, carrying over, and recording paid time off (PTO). PTO is intended for planned vacation, personal appointments, rest, and other discretionary time away from work. Medical, statutory, caregiving, bereavement, and other protected absences are handled under **POL-LEV-001** and must not be incorrectly classified as vacation.

### PTO-2. Scope and policy precedence

This policy applies to employees whose offer letter or employment agreement identifies them as Regular Full-Time (RFT) or Regular Part-Time (RPT). Temporary employees, interns, agency workers, and contractors receive PTO only when a written agreement or applicable law says so. Where law or a signed agreement provides a greater right, the greater right applies.

### PTO-3. Definitions

- **Business day:** Monday through Friday, excluding a holiday on the employee's assigned holiday calendar.
- **Scheduled workday:** A day the employee is expected to work under the approved schedule.
- **PTO day:** Eight hours for administrative conversion. Actual deductions use the employee's scheduled hours for the day.
- **Service year:** Completed continuous service measured from the employee's recognized service date.
- **Available balance:** Accrued PTO shown in the HR system, less approved future requests and any adjustments.

### PTO-4. Eligibility and accrual

PTO accrues each pay period from the employee's recognized service date. New hires receive a prorated accrual for the remainder of the calendar year. Employees may use accrued PTO after 30 calendar days of employment unless People Operations approves an earlier use or applicable law requires otherwise.

| Employment category and completed service | Annual full-time entitlement              | Administrative hours                     |
|-------------------------------------------|-------------------------------------------|------------------------------------------|
| RFT, less than 5 completed years          | 15 days                                   | 120 hours                                |
| RFT, 5 through 9 completed years          | 20 days                                   | 160 hours                                |
| RFT, 10 or more completed years           | 25 days                                   | 200 hours                                |
| RPT, 20-29 scheduled hours per week       | Prorated from the applicable service tier | Tier hours x scheduled weekly hours / 40 |

Service-tier increases take effect at the start of the pay period containing the employee's service anniversary. Accrual continues during paid leave. Accrual may pause after 30 consecutive calendar days of unpaid leave unless law, a benefit plan, or a written leave approval requires continuation.

### PTO-5. Rules for using PTO

1. PTO may be used only against scheduled work time.
2. Company holidays are not deducted from PTO.
3. PTO may be requested in half-day increments. A smaller increment may be used when required by law, an approved accommodation, or a local timekeeping rule.
4. Employees may not create a negative PTO balance. People Operations may approve an advance of up to 16 hours only for a documented payroll correction or exceptional business transition; this is not a routine benefit.
5. Employees must not perform work while recorded as on PTO unless a manager asks the employee to address an urgent matter and the PTO record is corrected.
6. PTO does not replace required attendance, performance, or availability expectations.

### PTO-6. Notice and request process

Requests must be submitted through the approved HR system and include dates, partial-day details, and any known coverage plan.

| Consecutive PTO requested    | Normal minimum notice |
|------------------------------|-----------------------|
| 1-2 scheduled workdays       | 5 business days       |
| 3-5 scheduled workdays       | 10 business days      |
| 6 or more scheduled workdays | 20 business days      |

Unexpected needs should be reported to the manager as soon as reasonably possible. Short notice does not automatically disqualify a request, but approval may depend on coverage and business impact.

The employee's manager is the normal approver. A manager requesting more than 10 consecutive business days requires approval from the next-level manager and People Operations. People Operations may review any request involving a policy exception, overlapping leave, or an inaccurate balance.

### **PTO-7. Approval criteria and scheduling conflicts**

Managers must consider operational coverage, customer commitments, deadlines, fairness across the team, prior approvals, and the employee's opportunity to use accrued time. Approval must not be withheld for a discriminatory or retaliatory reason.

When requests conflict, managers should first seek voluntary alternatives. If no alternative is available, the manager may consider the order of complete requests, critical role coverage, prior high-demand approvals, and equitable rotation. A "first come, first served" rule is not absolute.

Teams may establish limited critical-period restrictions only with director and People Operations approval and at least 30 calendar days' notice. Restrictions must identify the business reason, dates, affected roles, and an exception path.

### **PTO-8. Changes, cancellation, and illness during PTO**

Employees must promptly update a request when dates change. Managers should avoid canceling approved PTO. If a documented business emergency requires cancellation, the director and People Operations must approve the change, and reasonable non-refundable costs caused solely by the cancellation may be reviewed under **POL-EXP-001**.

An employee who becomes ill or experiences another qualifying event during approved PTO may ask People Operations to reclassify eligible days under **POL-LEV-001**. Supporting information may be required, but the employee should not disclose more medical information than necessary.

### **PTO-9. Carryover and year-end treatment**

Up to 40 hours of unused PTO may carry into the next calendar year. Carried hours should be used by March 31. Unused carryover after March 31 expires unless law, a written agreement, or a documented inability to take approved PTO requires a different result.

Managers must review high balances by October 1 and create a reasonable use plan with the employee. Employees remain responsible for submitting requests; a high balance does not create automatic approval for specific dates.

### **PTO-10. Separation and status changes**

Unused PTO is paid, forfeited, or otherwise treated according to applicable law and the employee's written agreement. The HR system calculation must be reviewed when an employee changes between full-time and part-time status, transfers jurisdictions, or has a corrected service date.

### **PTO-11. Roles and responsibilities**

- **Employee:** Maintain accurate requests, provide reasonable notice, monitor the balance, and coordinate coverage.
- **Manager:** Decide requests consistently, document exceptions, protect employees from retaliation, and support reasonable use of accrued PTO.
- **People Operations:** Maintain rules and balances, resolve disputes, interpret interactions with leave and law, and audit adjustments.
- **Payroll:** Process approved balances and separation payments using authorized records.

## **PTO-12. Exceptions, questions, and records**

Policy exceptions require People Operations approval and, when they materially affect cost or coverage, director approval. Questions or disputes may be submitted under **POL-HRC-001**. PTO requests, approvals, adjustments, and balance transactions are retained in the HR system according to the corporate records schedule.

## **PTO-13. Examples**

- An employee requesting three scheduled workdays next week should normally provide 10 business days' notice, confirm sufficient available balance, and obtain manager approval.
- A holiday occurring during a five-day vacation is not deducted from PTO.
- An employee with 24 available hours cannot submit a 32-hour request unless the dates are changed or a rare advance is approved.
- A six-week absence is not automatically a PTO matter. People Operations must determine whether part of the time is leave, an approved extended vacation, or another arrangement.

## **Related policies and records**

- **POL-HOL-001 - Holidays and Office Closures**
- **POL-LEV-001 - Statutory, Medical, and Personal Leave**
- **POL-HRC-001 - HR Case Management and Escalation**